Syllabus Edition
First teaching 2025
First exams 2027

Not your syllabus?

The Nature of Business Activity

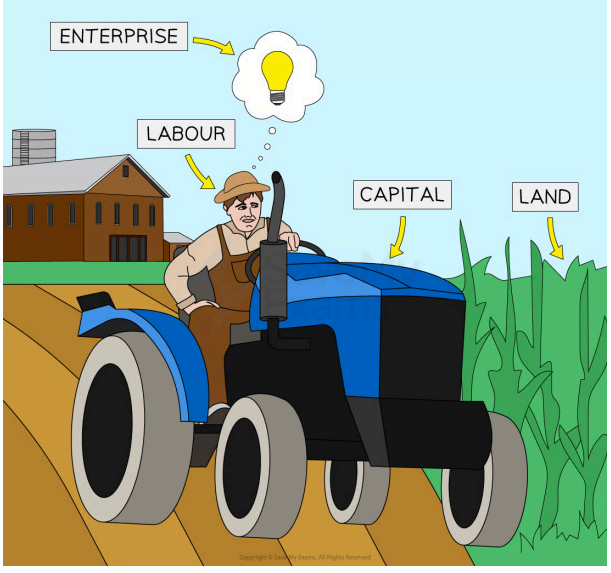
Exam code: 0450, 0986 & 0264, 0774

Download PDF

Written by: Lisa Eades
Reviewed by: Steve Vorster
Updated on 27 August 2025

Factors of production

- **Factors of production** are the resources used to produce goods and services
  - They include land, labour, capital and enterprise



The four factors of production are land, capital, labour and enterprise

- The production of any good or service requires the use of **a combination of all four factors of production**
  - Goods are physical objects that can be touched **(tangible)**, e.g., a mobile phone
  - Services are actions or activities that one person performs for another **(intangible)**, e.g., a manicure or car wash

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

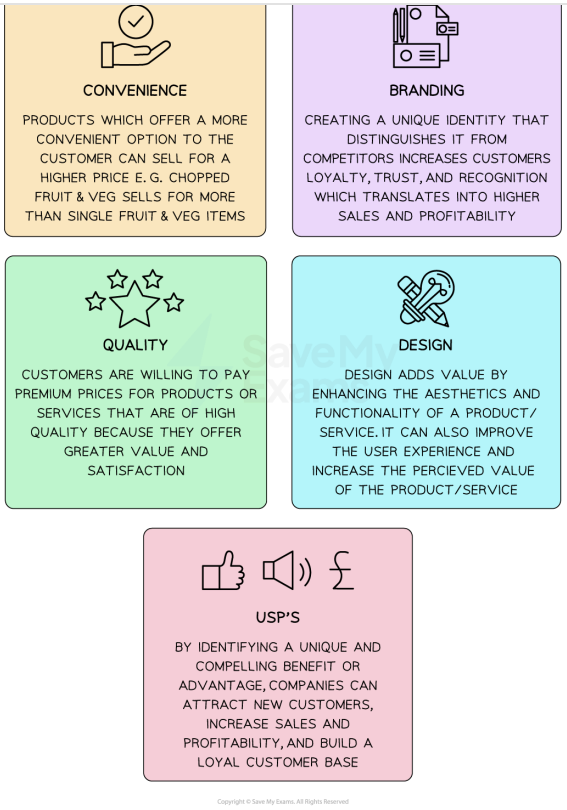
Land	Capital
• **Non-man-made natural resources** available for production • Some countries have a vast amount of a particular natural resource, so are able to specialise in its production ○ For example, **Kuwait** specialises in the product of oil which accounts for 95% of its **exports**	• Capital is any **man-made resource** that is used to produce goods and services • Examples include tools, buildings, machines and computers
Labour	**Enterprise**

• The **human input** into the production process, labour involves mental or physical effort
• Not all labour is of the same quality
  ○ It can be **skilled or unskilled**
  ○ Some workers are more productive than others because of their education, training and experience
	• Enterprise involves **taking risks** in setting up or running a firm
	• An entrepreneur decides on the combination of the **factors of production** necessary to produce goods and services with the aim of generating profit

Help me understand

Adding value

- Adding value is the process of **taking raw materials** and using them in such a way that the end product created is **worth more than the cost to make it**
- It is therefore the **difference between the price charged to the customer and the cost of inputs** required to create the product or service
  - For example, customers are prepared to pay more for potatoes when they are packaged as oven chips than they would be willing to pay for a bag of potatoes
- The greater the added value, the more successful the business is likely to be and the higher their **profits**
- **Product** and **marketing teams** explore ways to increase added value



Some of the methods of adding value allow for product differentiation, which allows the business to charge a higher selling price

Examples of added value

Method	Example

Branding	• Apple has built a brand that many customers believe is **superior to other brands**
	  ○ They have achieved this through the use of quality materials, innovative design and good marketing
	  ○ This branding allows the firm to **charge a higher price** for its products, thus increasing the added value

Convenience	• Persil initially provided a bottle of **dishwashing liquid** for dishwashing machine use
	  ○ This resulted in spillage as customers added the liquid to their machines, so Persil then created tablets
	  ○ The **tablets** offered a much more convenient option and Persil was able to charge a higher selling price for them

	which creates an exciting shopping experience for the customer ○ This allows the firm to charge a higher price for its products, thus increasing the added value
Unique selling points (USPs)	• MoonPig birthday cards can be **completely customised** (size, colour, design etc.) and the level of customisation has helped them gain a competitive advantage ○ This customisation allows the firm to charge a higher price for its cards, thus increasing the added value
Design	• **Samsung Galaxy Watch 5** has robust health tracking tools built into it, along with an amazing screen, which has helped it gain a competitive advantage ○ These features allow the firm to **charge a higher price** for its products, thus increasing the added value

Examiner Tips and Tricks

Don't confuse adding value with profit – adding value is the difference between cost of inputs and selling price

Opportunity cost

- **Opportunity cost** is the loss of the next best alternative when making a decision
- Businesses thrive when they are able to **meet customer needs and wants**
  - Needs are **essential,** e.g. shelter or food
  - Wants are desires which are **not essential** e.g Nike trainers
- Due to the problem of **scarcity**, there is a **basic economic problem**
  - **Choices have to be made** by producers, consumers, workers and governments about the most **efficient use of resources**
- There is an **opportunity cost** in the allocation of resources
  - When a **consumer** chooses to purchase a **new phone**, they may be **unable to purchase new jeans**
    - The jeans represent the loss of the next best alternative **(the opportunity cost)**

- The petrol vehicles represent the loss of the next best alternative (the **opportunity cost**)

- When a **government** decides to **provide free school meals** to all primary students in the country, they may be **unable to fund rural libraries**, which may have to close
  - The libraries represent the loss of the next best alternative **(opportunity cost)**

Teacher only

New! Exclusive Teacher-Only Questions

- Fresh, expert-written questions
- Students can't access them
- Fair accurate tests - built fast

Explore in Test Builder →

Test yourself Flashcards

Was this revision note helpful? Yes No

Next

Course Study tools All topics

Resources

Learning Hub
Scholarship
Join
Past Papers
Solution Banks
Sitemap

Dashboard

Overview
Brand ambassador
Profile
Subscription
Settings
Log out

Company

Subjects

Content Quality
Promotions
Jobs
Terms
Privacy
Cookie Policy
Help and Support
Physics
Maths
Geography
English Literature
Psychology
All Subjects

© Copyright 2015–2026 Save My Exams Ltd. All Rights Reserved.
Neither IBO nor College Board were involved in the production of, and do not endorse, the resources created by Save My Exams.